

MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Audit Quality and PCAOB Inspection Results

Annual Quality Report -- FY2025 Inspection Cycle
Internal Peer Review and Quality Improvement Initiatives

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1. Executive Summary

Meridian & Associates LLP is committed to delivering the highest quality audit services. As a firm that audits more than 300 SEC registrant audit clients (including 18 accelerated filers and 7 large accelerated filers), the firm is subject to annual inspection by the Public Company Accounting Oversight Board (PCAOB). This report summarizes the results of the most recent inspection cycle, the firm's internal peer review results, root cause analysis findings, and the quality improvement initiatives underway.

Overall, the FY2025 inspection cycle results demonstrate continued improvement in the firm's audit quality. The number of Part I findings decreased from 4 (in the FY2024 cycle) to 2, representing a 50% reduction. Both findings were promptly addressed and remediated. No Part II quality control criticisms were identified.

2. PCAOB Inspection Results -- FY2025 Cycle

2.1 Inspection Scope

The PCAOB's FY2025 inspection of Meridian & Associates LLP was conducted between April 2025 and September 2025. The inspection covered the following:

- 45 audit engagements selected for review, spanning 14 industry sectors.
- Engagements ranged from large accelerated filers (market capitalization exceeding \$700 million) to smaller reporting companies and emerging growth companies.
- Reviewed engagements included 12 integrated audits (financial statements and ICFR), 28 financial statement-only audits, and 5 broker-dealer audits.
- The inspection also included a review of the firm's system of quality control, including independence procedures, partner evaluation and compensation, engagement acceptance, and the firm's monitoring and remediation processes.

2.2 Part I Findings -- Audit Deficiencies

The PCAOB identified two Part I findings (audit deficiencies) out of 45 engagements reviewed, representing a 4.4% deficiency rate. The firm's five-year average deficiency rate is 6.2%, which compares favorably to the industry average of approximately 25% for annually inspected firms.

The two findings were as follows:

- Finding 1 -- Revenue Recognition (Technology Sector): The engagement team did not perform sufficient procedures to test the completeness of identified performance obligations under ASC 606 for a software company with complex multi-element arrangements. Specifically, the team did not adequately evaluate whether certain customization services represented distinct performance obligations. Remediation: The engagement team performed additional procedures and concluded that no misstatement existed. The firm updated its ASC 606 audit guide to include enhanced procedures for identifying embedded performance obligations in software arrangements.
- Finding 2 -- Goodwill Impairment (Consumer Products Sector): The engagement team did not sufficiently evaluate the reasonableness of management's cash flow projections used in the quantitative goodwill impairment test under ASC 350 (as simplified by ASU 2017-04, which eliminated the former Step 1/Step 2 framework). The team's sensitivity analysis did not adequately consider downside scenarios. Remediation: The engagement team engaged a Meridian valuation specialist to independently assess the projections and concluded that goodwill was not impaired. The firm issued supplemental guidance on evaluating management's forward-looking assumptions in impairment analyses.

2.3 Part II Findings -- Quality Control

The PCAOB did not identify any Part II criticisms related to the firm's system of quality control. The inspection team noted favorably the firm's investment in audit technology, the comprehensive partner evaluation framework, and the effectiveness of the National Office consultation process.

3. Internal Peer Review Results

The firm's triennial peer review, conducted by an independent AICPA-authorized reviewer in Q4 2025, resulted in a rating of 'Pass' with no deficiencies noted. The peer review encompassed 30 engagements across the firm's audit, review, compilation, and attestation practice. The reviewer specifically commended the firm's:

- Robust engagement quality review process with demonstrably independent EQR partners.
- Effective use of technology to enhance audit evidence, particularly the MeridianAI Analyze platform for journal entry testing.
- Comprehensive professional development and industry specialization program for audit professionals.
- Thorough documentation practices, particularly for significant judgments and estimates.

4. Root Cause Analysis Framework

The firm employs a structured root cause analysis (RCA) framework for all quality events, including PCAOB findings, internal inspection deficiencies, restatements, and near-misses. The RCA framework follows a five-step methodology:

- Step 1 -- Identification: Cataloging of the quality event, including the specific engagement, audit area, assertion, and nature of the deficiency.
- Step 2 -- Investigation: In-depth analysis of the facts and circumstances, including interviews with engagement team members, review of working papers, and timeline reconstruction.
- Step 3 -- Root Cause Determination: Classification of root causes using the firm's taxonomy, which includes categories such as: (a) insufficient professional skepticism, (b) inadequate technical knowledge, (c) resource constraints or excessive workload, (d) insufficient supervision or review, (e) methodology or guidance gaps, (f) technology or tool limitations, and (g) client-related factors.
- Step 4 -- Remediation Design: Development of targeted remediation actions linked to each identified root cause, with responsible parties, timelines, and success metrics.
- Step 5 -- Monitoring: Ongoing tracking of remediation effectiveness through the firm's Quality Dashboard, with quarterly reporting to the National Assurance Quality Board.

5. Quality Improvement Initiatives

Based on the FY2025 inspection results and the firm's ongoing root cause analysis program, the following quality improvement initiatives are in progress or planned:

- Enhanced ASC 606 Training: A mandatory 16-hour training module for all engagement teams serving clients with complex revenue recognition (effective Q2 2026).
- Impairment Assessment Toolkit: Development of standardized templates and independent data sources for evaluating management's assumptions in goodwill, intangible asset, and long-lived asset impairment analyses.
- Real-Time Quality Monitoring: Expansion of the MeridianAI platform to provide real-time alerts on potential quality issues during engagement execution, including workload imbalances, delayed milestone completion, and unusual patterns in audit evidence.
- Coaching Culture Initiative: A firm-wide program to shift the engagement review process from a 'review and correct' model to a 'coach in real time' model, with senior team members providing guidance during fieldwork rather than post-completion.
- Specialist Integration Enhancement: Strengthened protocols for the involvement, supervision, and documentation of work performed by IT audit, valuation, actuarial, tax, and forensic specialists (see Document MA-AA-SF-2026-007).

6. Audit Quality Indicators (AQIs)

The firm tracks and reports the following Audit Quality Indicators on a quarterly basis. These metrics are reported to the National Assurance Quality Board and are available to audit committees upon request:

Indicator	Target	FY2025	FY2024	Trend
Partner workload (max hrs)	1,600	1,520	1,580	Improving
Staff leverage ratio	6:1	5.9:1	6.0:1	Stable
Industry specialist hours (%)	>30%	34%	31%	Improving
EQR completion (days pre-sign)	>5 days	7.2 days	5.8 days	Improving
Restatement rate	<1%	0.4%	0.8%	Improving
PCAOB deficiency rate	<5%	4.4%	6.7%	Improving
Staff turnover (audit)	<18%	17.5%	19.1%	Monitoring
CPE hrs (avg per prof.)	>50 hrs	62 hrs	55 hrs	Improving

7. Part I Findings -- Five-Year Trend

The following table presents the firm's PCAOB Part I inspection findings over the last five inspection cycles. The data demonstrate a sustained downward trajectory, reflecting the cumulative impact of the firm's quality improvement investments and root cause remediation programs.

Cycle	Engmts	Part I	Def. Rate	Primary Areas
FY2021	38	5	13.2%	ICFR testing, Revenue
FY2022	40	4	10.0%	Fair value, Estimates
FY2023	42	3	7.1%	Inventory, ICFR
FY2024	43	4	9.3%	Revenue (ASC 606), Leases
FY2025	45	2	4.4%	Revenue (ASC 606), Goodwill

The FY2024 uptick from 3 to 4 findings reflected the addition of several newly acquired mid-market engagements that had not yet been fully integrated into Meridian's methodology. Enhanced onboarding protocols implemented in Q1 2025 contributed to the FY2025 improvement.

8. Areas of Continued Focus

While the overall trajectory is positive, several areas require ongoing attention and investment. The National Assurance Quality Board has designated the following as priority focus areas for FY2026:

- Revenue Recognition Complexity:** ASC 606 continues to generate the most frequent Part I findings across the profession. Meridian's ASC 606 Center of Excellence will deploy enhanced audit programs for software, SaaS, and construction contract revenue in Q2 2026, including mandatory specialist involvement for arrangements exceeding \$25M.
- Staff Retention and Workload Management:** Although staff turnover has improved from 19.1% to 17.5%, the metric remains in 'Monitoring' status. The firm is piloting a workload analytics dashboard that provides real-time visibility into individual utilization and flags teams approaching burnout thresholds. The 18% target remains aspirational in the current labor market, and the Quality Board is evaluating whether an adjusted 19% target is more appropriate.
- Emerging Accounting Standards:** The adoption of ASU 2023-09 (Income Tax Disclosures) effective for fiscal years beginning after December 15, 2024, will require significant new audit procedures. The firm is developing specialized audit programs and training modules for the expanded rate reconciliation and jurisdictional disclosure requirements.
- Audit Data Analytics Adoption:** While MeridianAI Analyze is deployed on 100% of SEC registrant engagements, adoption of the full analytics suite (including predictive fraud scoring and automated three-way matching) stands at 68% of eligible engagements. The firm's target is 90% adoption by Q4 2026.
- Cryptocurrency and Digital Asset Audits:** The firm is building specialized audit methodologies for clients holding or transacting in digital assets, addressing the unique valuation, custody, and disclosure challenges under ASC 350-60 (Crypto Assets).

9. PCAOB QC 1000 and ISQM 1 Compliance

Effective December 15, 2025, PCAOB QC 1000 (A Firm's System of Quality Control) replaced the prior interim quality control standards and established a risk-based, proactive framework for quality management at the firm level. Meridian & Associates LLP

completed its transition to QC 1000 in Q4 2025. The firm's quality management system now addresses all eight components specified in QC 1000: governance and leadership, the firm's risk assessment process, engagement performance, relevant ethical requirements (including independence), acceptance and continuance, resources, information and communication, and the monitoring and remediation process.

The firm's QC 1000 implementation is also aligned with the International Standard on Quality Management 1 (ISQM 1) issued by the International Auditing and Assurance Standards Board (IAASB), which took effect on December 15, 2022. Where the firm serves clients subject to international auditing standards, its quality management system satisfies both QC 1000 and ISQM 1 requirements. The National Assurance Quality Board maintains a unified quality objectives and risk register that maps each identified quality risk to both frameworks, ensuring consistent monitoring and remediation across domestic and international engagements.